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CREDIT MEMORANDUM – PREMIER FOODS PLC

Corporate Credit – UK Consumer & Retail Sector

Borrower	Premier Foods plc (Group)	**Ticker / Listing**	PFD.L (Premium, FTSE 250)
Sector	Branded Ambient Food Manufacturing	**Domicile / HQ**	United Kingdom (St Albans)
Public ratings	S&P BB+ Stable / Fitch BB+ Stable	**Memo date**	27 April 2026
Relationship	Lead relationship bank (proposed)	**Prepared by**	Senior Corporate Credit Analyst

1. Transaction & Recommendation Summary

Borrower & request

Premier Foods plc is one of the UK's largest branded ambient grocery and sweet treats manufacturers, with FY24/25 revenue of £1,147.8m, Adjusted EBITDA of £213.2m and net debt of £143.6m at year-end (29 March 2025). At H1 FY25/26 (27 September 2025) rolling 12-month Adjusted EBITDA was £214.0m and net debt £207.1m, reflecting the £46m cash outflow for Merchant Gourmet (acquired 1 September 2025). We have been invited to act as lead relationship bank in support of two new committed bank facilities:

- £150m committed Revolving Credit Facility (RCF), 5-year tenor; and
- £100m committed Term Loan, 5–7 year tenor.

Existing capital structure & key credit metrics

Metric	FY23/24	FY24/25	H1 FY25/26
Headline revenue (£m)	1,108.7	1,147.8	502.5
Adjusted EBITDA (£m)	201.6	213.2	214.0 (LTM)
Trading profit margin (%)	16.0%	16.4%	14.0% (H1 only)
Net debt (£m)	235.6	143.6	207.1
Net debt / Adj. EBITDA (x)	**1.2x**	**0.7x**	**1.0x**
EBIT / interest (approx.)	~7.4x	~8.7x	>8x
Cash & deposits (£m)	102.3	191.5	127.4

Source: Premier Foods preliminary FY24/25, interim FY25/26 H1 and Q3 trading update.

Recommendation

APPROVE WITH CONDITIONS. Recommended total bank exposure of **£275m** comprising:

- £150m committed RCF (5-year, club/syndicated), pari passu with existing senior facilities
- £100m committed Term Loan A (6-year), pari passu
- £25m bilateral ancillary lines: overdraft, FX/derivative settlement and trade finance / B&G

This sits comfortably within Premier's debt capacity given LTM Adjusted EBITDA of c.£214m and a 1.5x leverage target, forming part of the existing £282.5m syndicated RCF/term loan platform; this memo addresses our proposed hold only. Approval is conditional on (i) successful refinancing of the £330m 3.50% 2026 Notes prior to Term Loan drawdown, (ii) standard financial covenants per Section 7, and (iii) confirmation of pari passu ranking.

Key reasons supporting the recommendation

- Strong, defensive franchise. Category-leading UK brands (Mr Kipling, Ambrosia, Bisto, Batchelors, Sharwood's, OXO, Cadbury cake under licence to 2028); branded revenue is 90% of Group and grew +5.2% in Q3 FY25/26.
- Conservative balance sheet. Net debt / Adj. EBITDA of 1.0x at H1 FY25/26 is well inside both management's 1.5x target and our 3.0x policy ceiling — material headroom for the proposed facilities.
- Strong cash generation. FY24/25 FCF of £140.3m; net debt halved from £285m at FY21/22 to £143.6m at FY24/25.
- BB+ Stable from S&P and Fitch, on a credible upgrade trajectory.

- Refinancing of the £330m Notes (Oct 2026) is the principal credit concern; mitigated by a £275m committed bridge to Nov 2027. Conditionality on Notes refinancing should be incorporated.

2. Business & Industry Overview

Business model & footprint

Premier Foods is the UK's leading branded ambient grocery food group, operating across two reported segments: Grocery (FY24/25 revenue £850.2m, c.74% of Group) and Sweet Treats (£298.8m, c.26%). The Group employs around 4,000 people across 13 UK manufacturing sites and supplies all major UK grocers, plus wholesale, foodservice and convenience channels.

Flagship brands include Mr Kipling, Ambrosia, Bisto, Batchelors and Cadbury cake (under a Mondelēz licence extended to 2028). Premier has supplemented these core brands with bolt-on acquisitions (The Spice Tailor, FUEL10K, Merchant Gourmet) and is gradually building an international presence (ANZ, North America, EMEA), still <5% of revenue.

Industry positioning & risk

Branded ambient food is a defensive, late-cycle segment of UK consumer staples. Demand is highly stable through the cycle: Premier's revenue grew through the cost-of-living crisis (+11.8% in FY22/23) and again post-inflation (+3.5% in FY24/25). Sweet Treats is more discretionary but has shown resilience driven by the "premiumisation" trend (Mr Kipling Signature ranges).

Principal industry risks are well-known: (i) high concentration of top UK grocers, giving retailers significant negotiating power; (ii) input cost volatility (wheat, sugar, dairy, energy, packaging), where Premier has demonstrated strong recovery capability through pricing and cost-out; (iii) competition from private label, which has gained share in some categories — though Premier's Grocery branded volume share grew +80bps in FY24/25; and (iv) regulatory pressure (HFSS restrictions, EPR packaging levy from FY25/26).

On balance, we view industry risk as low-to-moderate, consistent with a BBB-/BB+ business risk profile. Strong brand equity, broad category exposure and demonstrated through-cycle resilience justify a defensive lending stance.

3. Historic Financial Performance & Ratios

The table below summarises the last four full fiscal years (Premier's 52-week year ends late March/early April) plus H1 FY25/26. Definitions follow the company's APMs: Adjusted EBITDA = Trading profit + depreciation + software amortisation; Net debt includes IFRS 16 leases from FY22/23.

£m unless stated	FY21/22	FY22/23	FY23/24	FY24/25	H1 FY25/26
Revenue (statutory)	900.5	1,006.4	1,137.5	1,149.0	502.1
Trading profit	141.2	157.5	177.2	187.8	70.5
Trading profit margin	15.7%	15.7%	16.0%	16.4%	14.0%
Adjusted EBITDA	**160.4**	**182.3**	**201.6**	**213.2**	**83.2 / 214.0 LTM**
Profit before tax (statutory)	102.6	112.4	151.4	161.3	63.4
Cash generated from ops	n/d	n/d	146.4	188.6	47.1
Capex (PP&E + intangibles)	~25	~30	32.8	41.4	23.3
Free cash flow	~50	~85	109.7	140.3	16.7
Net debt (period end)	**285.0**	**274.3**	**235.6**	**143.6**	**207.1**
Net debt / Adj. EBITDA	**1.7x**	**1.5x**	**1.2x**	**0.7x**	**1.0x**
Net regular interest	~22	~22	21.6	18.5	8.1
Trading profit / interest	**~6.4x**	**~7.2x**	**8.2x**	**10.2x**	**8.7x**

Source: Premier Foods preliminary results FY21/22 to FY24/25 and FY25/26 H1 RNS; capex/FCF for FY21/22–FY22/23 estimated where not separately disclosed.

Commentary

Growth and margins: Headline revenue has compounded at c.6% CAGR over FY19/20–FY24/25, driven by the Group's "Branded Growth Model" (premiumisation, focused NPD, sustained marketing, broader distribution). Branded revenue is now c.90% of Group. Trading profit margin has expanded from 15.7% in FY21/22 to 16.4% in FY24/25 despite an inflationary input cost cycle. The H1 FY25/26 margin of 14.0% is temporarily depressed by full-period recognition of the EPR packaging levy (recovery is phased over the year); full-year Trading profit is guided to the upper end of consensus.

Deleveraging: Net debt has fallen from £285m at FY21/22 to £143.6m at FY24/25 (-£141m / -50%), with leverage compressing from 1.7x to 0.7x. The H1 tick-up to 1.0x reflects the £46m Merchant Gourmet outflow and seasonal Christmas working capital build; rolling EBITDA itself rose. The deleveraging is structural, driven by suspension of pension deficit contributions (April 2024) and consistent operating cash conversion.

Cash flow stability: FY24/25 cash generated from operations was £188.6m on Adjusted EBITDA of £213.2m (88% conversion). Working capital is routinely modest (c.£10m outflow in FY24/25). Capex is rising as planned (£41.4m in FY24/25, guided c.£55m FY25/26), focused on efficiency, automation and innovation capacity. Cash tax is currently low (£9.9m in FY24/25) thanks to brought-forward losses but will normalise.

Red flags / one-offs: The legacy DB pension scheme is now in IAS 19 surplus (£572m at H1 FY25/26) with deficit contributions suspended and full de-risking targeted by end-2026. Charnwood/Knighton site closures are substantially complete (c.£14m of restructuring costs already absorbed). The Mondelēz Cadbury cake licence is a key contractual dependency, recently extended to 2028.

4. Capital Structure & Debt Capacity

Existing capital structure

Premier's capital structure is straightforward and conservatively positioned for a BB+ branded food manufacturer:

- £330m 3.50% Senior Secured Notes, fixed coupon, maturing 15 October 2026 — primary funded debt
- £282.5m Senior Secured RCF, GBP, SONIA + 1.8–2.0% (margin ratchet), maturing July 2029 — UNDRAWN
- £275m committed bridge facility to November 2027, put in place during H1 FY25/26 to support refinancing of the 2026 Notes — UNDRAWN
- c.£10m IFRS 16 lease liabilities and routine working capital provisions

The Notes and RCF are senior secured and rank pari passu; there is no subordinated debt. Cash & deposits of £127.4m at H1 FY25/26 (£191.5m at FY24/25 year-end) provide a substantial liquidity buffer.

Maturity profile and refinancing risk

Funded debt maturities are: £330m Notes in October 2026; £275m bridge expiring November 2027 (intended to be replaced by new bond issuance); and £282.5m existing RCF in July 2029. Management has clearly signalled refinancing of the 2026 Notes as the FY26 priority, with the bridge as backstop — given the BB+/BB+ ratings, strong metrics and supportive bond market backdrop for branded staples, refinancing at attractive levels is highly likely. We would, nevertheless, condition our facilities on confirmation of a successful Notes refinancing prior to Term Loan drawdown.

External ratings

BB+ (Stable) from both S&P and Fitch — one notch below investment grade, with a credible path to a future upgrade given declining net debt, growing EBITDA and the pension scheme on track to full resolution by end-2026. Sell-side debt analysts highlight material acquisition headroom.

Leverage, coverage and debt capacity vs policy

Net debt / Adjusted EBITDA of 1.0x at H1 FY25/26 is well inside our 3.0x policy ceiling, with c.2.0 turns of EBITDA headroom (equating to c.£430m of additional net debt capacity at constant EBITDA before policy is reached). Trading profit / net regular interest of 8.7x in H1 FY25/26 (10.2x in FY24/25) is comfortably above our 3.0x base case threshold; sensitivity to higher rates is moderate, with a c.£5–8m additional interest cost on Notes refinancing absorbable within current cash flow. The proposed £275m total bank exposure is well inside Premier's overall debt capacity, whether assessed against management's 1.5x target or our 3.0x ceiling.

5. Base & Downside Case Analysis

Base case (FY25/26E – FY27/28E)

Key assumptions, broadly aligned with company guidance and consensus:

- Revenue +3% pa (Q3 +5.2% branded run-rate, partly offset by non-branded contract exits, plus Merchant Gourmet contribution)
- Adjusted EBITDA margin stable around 18.5–19.0%; EPR levy recovered in pricing from FY26/27
- Capex c.£55m in FY25/26 then ~£50m pa; modest WC outflow; bolt-on M&A c.£40m in FY26/27
- Net regular interest £21m in FY25/26 rising to c.£28m post Notes refinancing; dividends c.£25–30m pa

Base case (illustrative)	FY25/26E	FY26/27E	FY27/28E
Revenue (£m)	1,180	1,215	1,250
Adjusted EBITDA (£m)	220	228	237
Net debt (£m, period end)	180	190	170
Net debt / Adj. EBITDA	**0.8x**	**0.8x**	**0.7x**
Trading profit / interest	**>9x**	**>7x**	**>7x**

Leverage and coverage remain comfortably inside both 3.0x policy hurdles and FCF after capex, interest, tax and dividends remains positive, supporting the assumed M&A spend without raising leverage.

Downside case (FY25/26E – FY27/28E)

Stress assumptions:

- Revenue flat in FY25/26E, -3% in FY26/27E (UK consumer recession + private-label share gain), -1% in FY27/28E
- Adjusted EBITDA margin -200bps (input cost shock + delayed pricing) to c.16.5%
- Capex held at £50m pa (limited flexibility on committed projects); M&A paused; £15m additional WC outflow in stress years
- Net regular interest £30m from FY26/27E (Notes refinanced at higher cost)

Downside case (illustrative)	FY25/26E	FY26/27E	FY27/28E
Revenue (£m)	1,148	1,113	1,102
Adjusted EBITDA (£m)	210	184	182
Net debt (£m, period end)	200	230	245
Net debt / Adj. EBITDA	**1.0x**	**1.3x**	**1.3x**
Trading profit / interest	**~8x**	**~5x**	**~5x**

Even under stress, peak leverage of c.1.3x and minimum cover of ~5x sit well inside the 3.0x net leverage and 2.0x downside coverage policy thresholds — the credit demonstrates substantial resilience.

Covenant headroom and liquidity

Assuming typical mid-BB syndicated covenant levels (c.3.5x leverage / 3.0x coverage), both base and downside cases retain >50% headroom on leverage and >60% on coverage; no breach occurs in either scenario, and the Group has been compliant at every reporting date through H1 FY25/26.

Total committed liquidity (cash + undrawn RCF + undrawn bridge) comfortably exceeds the £330m 2026 Notes maturity, even before any new bond issuance.

6. Key Strengths and Key Risks with Mitigants

Key strengths

- Market-leading branded portfolio: Mr Kipling is the UK's #1 cake brand; Bisto, OXO, Ambrosia, Sharwood's and Batchelors are category leaders, providing pricing power and customer loyalty.
- Defensive end-markets: UK ambient grocery is among the most resilient consumer categories. Branded growth delivered through both the cost-of-living spike and the recovery.
- Strong, expanding margins: 16.4% Trading profit margin in FY24/25, in line with global branded food peers and resilient through input cost cycles.
- Demonstrated deleveraging discipline: net debt halved over FY21/22–FY24/25; management adheres to a 1.5x leverage target.
- Pension overhang substantially resolved: deficit contributions suspended, dividend match removed, scheme in £572m IAS 19 surplus, full resolution targeted by end-2026.

- High and predictable FCF: £140m in FY24/25 covers proposed bank debt service many times over; capex programme can be modestly flexed in a severe downside while protecting critical projects.

Key risks and mitigants

- **1) Refinancing risk on £330m Senior Secured Notes due Oct 2026.** Mitigant: £275m committed bridge to Nov 2027 in place; BB+ Stable rating supports market access; £127m cash and £282.5m undrawn RCF; conditioned in our facility documentation.
- **2) UK retailer concentration.** Top UK grocers control most route to market; periodic delistings and promotional demands can compress margins. Mitigant: Premier's must-stock branded portfolio provides countervailing power; distribution growing.
- **3) Input cost / inflation risk.** Wheat, sugar, dairy, packaging and energy are volatile. Mitigant: demonstrated track record of recovering inflation through pricing and cost-out; forward purchasing and hedging in place.
- **4) M&A execution risk.** Three bolt-ons since 2022 (c.£126m total EV). Mitigant: small relative size, conservative high-single-digit EBITDA multiples, all delivering double-digit growth post-acquisition; covenant cap on future M&A.
- **5) Pension scheme legacy risk.** Scheme remains very large (£3.1bn assets) despite surplus position. Mitigant: deficit contributions suspended; Letters of Credit released September 2025 as funding criteria met; full de-risking by end-2026.
- **6) Concentration on Cadbury cake licence.** Meaningful share of Sweet Treats revenue. Mitigant: licence extended to 2028 and continuously renewed since the early 1990s; manageable impact given Mr Kipling-led portfolio.

7. Recommended Credit Limit, Structure & Conditions

Recommended overall bank exposure: £275m

Facility	Limit (£m)	Tenor	Indicative pricing	Security / ranking
Committed RCF	150	5 years	SONIA + 175–200bps (ratchet)	Senior, pari passu
Term Loan A	100	6 years	SONIA + 200–225bps (ratchet)	Senior, pari passu
Ancillary – overdraft	10	Uncommitted	BoE base + 200bps	Pari passu
Ancillary – FX/derivatives	10	Rolling	Standard ISDA pricing	Pari passu
Ancillary – trade / B&G	5	Rolling	Standard fee grid	Pari passu
TOTAL BANK EXPOSURE	**275**			

We expect to join the senior secured platform pari passu with existing senior debt; documentation may migrate to senior unsecured upon a future upgrade and new notes issuance.

Key covenants and undertakings

- Maximum Net Debt / Adjusted EBITDA: 3.5x at all measurement dates
- Minimum EBITDA / Net Interest: 3.0x at all measurement dates
- Negative pledge over substantially all assets of the obligor group
- Cap on acquisitions: any single transaction or rolling 12-month aggregate > £150m requires majority lender consent
- Restriction on dividends / share buybacks if pro-forma Net Debt / EBITDA > 2.5x
- Standard events of default, reporting and information covenants in line with market practice (including notification of rating actions, material litigation, pension events and any change to the Mondelēz Cadbury licence)

Conditions precedent

- Successful refinancing or fully-committed term-out of the £330m 3.50% 2026 Notes prior to drawdown of the Term Loan
- Continued public ratings of at least BB-/BB- (Stable) from S&P and Fitch at signing
- Confirmation of pari passu ranking with all other senior debt
- Customary KYC/AML clearance, legal opinions, no Material Adverse Change since H1 FY25/26 results, and Annual Report 2026 confirmation

Final recommendation

APPROVE WITH CONDITIONS. Premier Foods is a high-quality, defensive UK branded staples credit with sub-1x leverage, double-digit interest coverage, strong free cash flow and BB+ Stable public ratings. The proposed £275m bank exposure (£150m RCF + £100m Term Loan + £25m ancillary) is comfortably absorbed within Premier's debt capacity and remains well inside our 3.0x leverage / 3.0x coverage policy thresholds in both base and downside cases. Approval is conditional on successful refinancing of the 2026 Notes prior to Term Loan drawdown and the financial and information covenants set out above. The credit fits within our consumer & retail concentration limits and supports a deepening lead-bank relationship with a high-quality FTSE-listed corporate.

— End of Memorandum —

Sources: Premier Foods plc Preliminary Results FY24/25 (15 May 2025), Half Year Results FY25/26 (13 Nov 2025), Q3 Trading Update FY25/26 (21 Jan 2026), Merchant Gourmet acquisition announcement (21 Aug 2025), Premier Foods Debt Investors page, and prior years' preliminary results.